

EXECUTIVE SUMMARY

Acme Ledger is a capital-efficient leader in lender reconciliation; invest at USD 40-55M with milestones tied to enterprise churn

RECOMMENDATION: INVEST

Conviction: Medium | Valuation view: USD 40-55M pre-money

TAM \$18B	ARR \$4.0M	TOTAL FUNDING \$11M
BASE CAGR 51%	OVERALL RISK 4.6/10	VALUATION \$40-55M
SITUATION	COMPLICATION	RESOLUTION
Acme Ledger sells AI reconciliation software to 140 Indian NBFCs and SMB lenders, at ~USD 4.0M ARR growing ~2.1x YoY.	Core-banking vendors are bundling basic reconciliation, and 38% of revenue sits with the top 5 customers.	Invest: a 9-month payback, 118% net revenue retention and RBI co-lending tailwinds outweigh concentration risk if diligence confirms churn.

KEY TAKEAWAYS

- Product reduces reconciliation effort by ~70% at pilot lenders, giving a clear ROI story (INR 2.4 Cr saved per lender per year).
- Market is large and under-penetrated: USD 18B TAM, USD 4B SAM in India + SEA lenders.
- Base case reaches USD 21M revenue by 2031 (51% CAGR); bull case USD 42M if SEA expansion lands.
- Main risks are customer concentration and long enterprise sales cycles - both testable in diligence.
- Entry at USD 40-55M implies 3.2-5.4x base-case MOIC over 5 years.

INVESTMENT THESIS

1. Painful, budgeted problem Lenders spend ~4% of opex on manual reconciliation	2. Proven ROI ~70% effort reduction at pilot lenders	3. Data moat 1,200+ lender-specific rules competitors lack	4. Efficient growth 9-month CAC payback, 118% NRR
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RETURN SCENARIOS

Scenario	Exit value	MOIC	Key assumption
Bear	USD 60M	1.1x	Growth stalls at 28% CAGR, trade sale
Base	USD 210M	3.8x	51% CAGR, 10x revenue exit in 2031
Bull	USD 420M	7.6x	SEA expansion lands, strategic acquirer premium

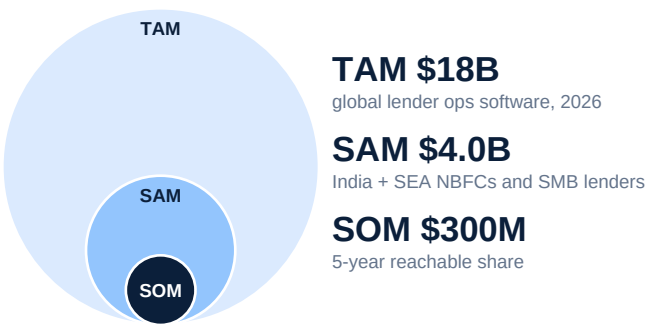
COMPANY & MARKET

A USD 4B serviceable market is opening as RBI co-lending rules force lenders to automate reconciliation, and Acme is the only lender-native player

COMPANY FACT SHEET

Founded	2022
HQ	Bangalore, India
Stage	Series A
Total funding	USD 11M
Lead investors	Example Ventures, Sample Capital
Team	85 FTE (40 engineering)
Customers	140 lenders
Business model	SaaS, per-loan-volume pricing

MARKET SIZING



COMPETITIVE LANDSCAPE

Competitor	Scale / positioning	How the target differs
CoreBank Suite	Large core-banking vendor; bundles basic recon	Acme is lender-workflow native, 3x faster go-live
ReconPro	Horizontal recon tool, USD 30M ARR	No lending-specific rules engine
In-house builds	Large banks build their own	Acme 60% cheaper over 3 years

MOAT SCORECARD

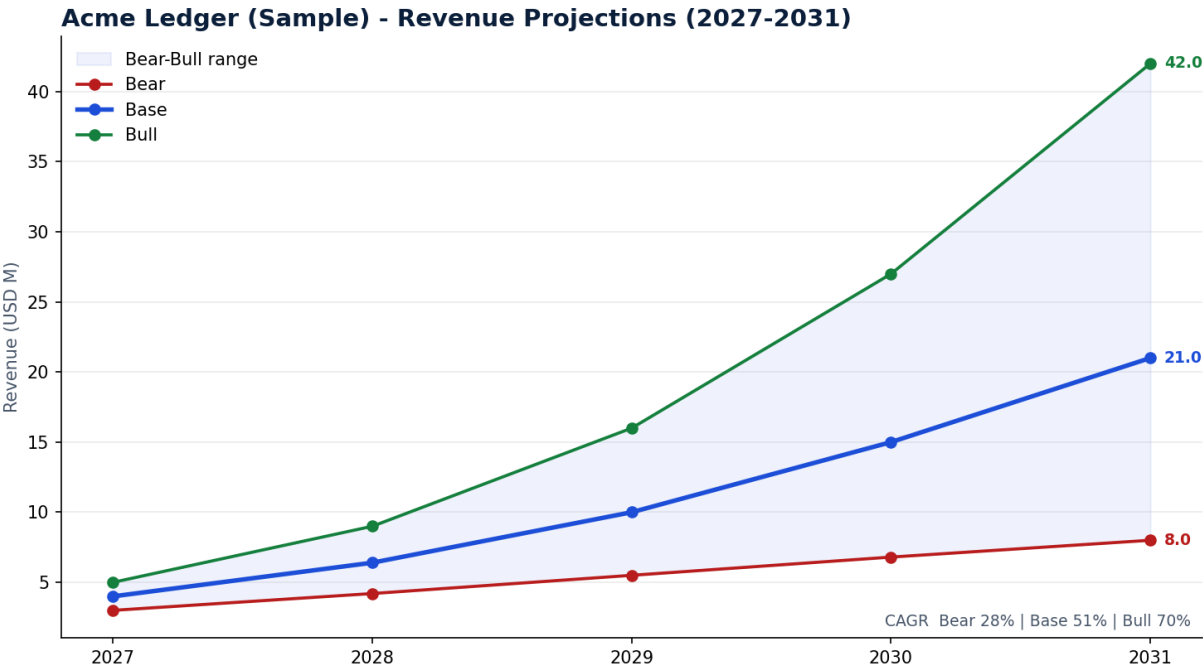
Moat dimension	Strength	Evidence
Proprietary data	HIGH	1,200+ lender rules and 30M reconciled loans
Switching costs	MEDIUM	Embedded in month-end close; 6-week migration
Network effects	LOW	Limited cross-lender benefit today
Regulatory know-how	MEDIUM	RBI co-lending compliance built in

MARKET INSIGHTS

- Co-lending volumes grew 3x since 2024, multiplying reconciliation complexity.
- Lenders spend ~4% of opex on manual operations - automation budget is real.
- Acme's rules library (1,200+ lender rules) is a data moat competitors lack.

FINANCIAL OUTLOOK

Base case reaches USD 21M revenue by 2031 with best-in-class unit economics, needing one more raise of ~USD 15M



FINANCIAL HIGHLIGHTS

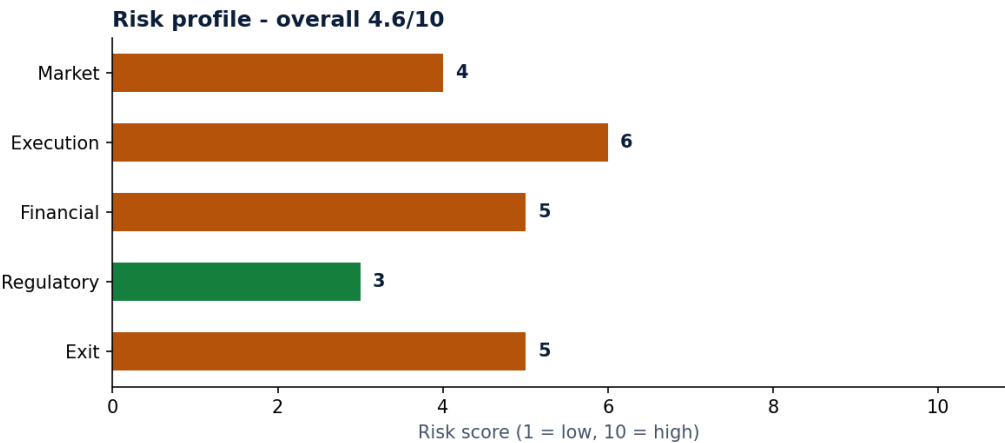
- FY26 baseline ARR USD 4.0M (company-reported; partially verified).
- Bear / base / bull CAGR of 28% / 51% / 70% over 2027-2031.
- Gross margin ~78%, rising to 82% with automation.
- Runway of 20 months; next raise ~USD 15M in 2027.

UNIT ECONOMICS

Metric	Value / estimate
CAC	USD 18K (estimate)
LTV	USD 160K
LTV / CAC	8.9x
Gross margin	78%
CAC payback	9 months
Burn multiple	1.3x
Net revenue retention	118%

RISKS & NEXT STEPS

Overall risk is moderate (4.6/10); execution and concentration are the two risks diligence must clear



Category	Key risk	Mitigation / diligence ask
Execution	Enterprise sales cycles of 6-9 months slow growth	Review pipeline conversion and sales hiring plan
Market	Core-banking vendors bundle free recon	Win-loss interviews with 10 lenders
Financial	Top-5 customers = 38% of revenue	Contract terms, renewal dates and churn history
Regulatory	RBI data-localisation changes	Legal review of data architecture
Exit	Limited Indian SaaS IPO path	Map strategic acquirers (core-banking, payments)

RECOMMENDED NEXT STEPS

- Run 8-10 customer reference calls, prioritising top-5 accounts.
- Obtain monthly ARR, cohort and churn data for the last 24 months.
- Technical diligence on the rules engine and data security.
- Model downside if the largest customer churns.
- Negotiate milestone-based tranche tied to NRR above 110%.

Methodology: live web research, top-down and bottom-up market sizing, scenario revenue modelling and a five-category risk scorecard, produced by the AI VC Due Diligence Agent Team. Figures marked as estimates are model-derived. Validate with management data, references and primary sources before any investment decision.